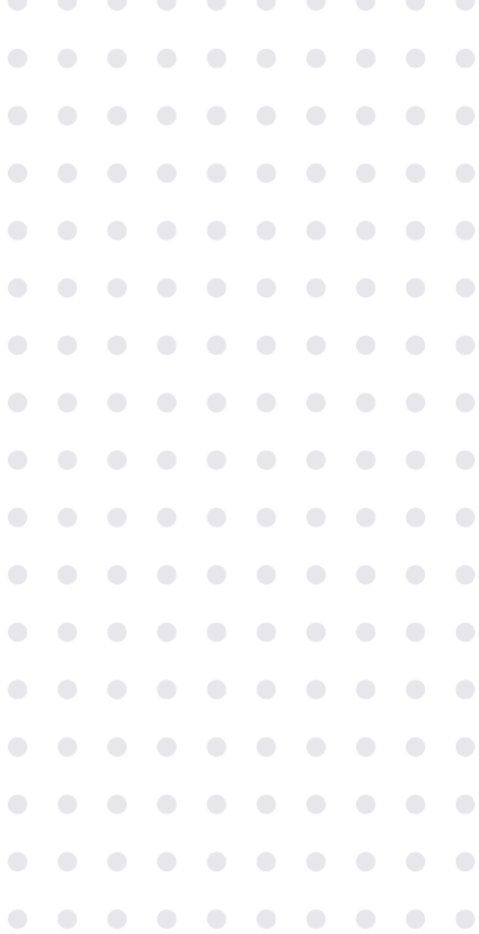




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Policy on
Determination of
Materiality for
Disclosures of Events
or Information

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1. Background

Eternal Limited (“**Company**”) is committed to being open and transparent with all its stakeholders and believes in disseminating information in a fair and timely manner.

Pursuant to Regulation 30 read along with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time (“**SEBI LODR Regulations**”), the Board of Directors (“**Board**”) has adopted this Policy on Determination of Materiality for Disclosures of Events or Information (“**Policy**”). This Policy seeks to determine inter alia what constitutes material events/ information, who is responsible to identify, determine and promptly intimate the material events and information to the stock exchanges.

2. Applicability

This Policy applies to Eternal Limited and shall become effective from August 1, 2024.

3. Definitions

In this Policy, unless the context requires otherwise, the following words and expressions used shall have the meaning as defined herein:

- a. **Authorised KMPs** shall mean one or more Key Managerial Personnel as defined under section 2(51) of the Companies Act, 2013 as may be authorized by the Board of directors for the purpose of determining materiality of an event or information and for the purpose of making disclosures to the Stock Exchange(s).
- b. **Board** shall mean the Board of Directors of the Company.
- c. **Company** shall mean Eternal Limited.
- d. **Chief Financial Officer** shall mean the person heading, and responsible for discharging the finance function of the Company, as disclosed by it to the recognized stock exchange(s), in its filing under the SEBI LODR Regulations.
- e. **Companies Act** shall mean the Companies Act, 2013 (“**the Act**”), as amended from time to time.
- f. **Key Managerial Personnel** or **KMP** pursuant to section 2(51) of the Act shall include the following persons:
 - i. Chief Executive Officer or the Managing Director or the Manager;
 - ii. Company Secretary;
 - iii. Whole-time Directors;
 - iv. such other officers not more than one level below the Directors who is in whole-time employment, designated as key managerial personnel by the Board; and
 - v. such other Officer as may be prescribed by the applicable laws;
- g. **Mainstream Media** shall mean and include following print and electronic mode as identified by the Industry Standard Note on verification of market rumours and enclosed as Annexure IA:
 - i. Newspapers registered with the Registrar of Newspapers for India;
 - ii. News channels permitted by Ministry of Information and Broadcasting under Government of India;
 - iii. Content published by the publisher of news and current affairs content as defined under the Information Technology (Intermediary Guidelines and Digital Media Ethics Code) Rules, 2021; and
 - iv. Newspapers or news channels or news and current affairs content similarly registered or permitted or regulated, as the case may be, in jurisdictions outside India.

- h. Material Business Operations** shall mean business operations in foreign jurisdictions, whose turnover exceeds 5% of the turnover or profits of the Company as per latest audited financial statements.
- i. Officer** includes any Director, Manager or Key Managerial Personnel or any person in accordance with whose directions or instructions the Board of Directors or any one or more of the Directors is or are accustomed to act.
- j. Relevant Employee(s)** may include employee(s)/ personnel(s)/ heads of various departments/ divisions and functions, KMPs, Senior Management Personnels (SMPs), of the Company and its subsidiaries (if any), as identified and recognised by the Company from time to time based on the criteria laid by the Authorised KMPs.
- k. Stakeholders Communication** means any communication issued by or on the authority of the Company, including any information filed by the Company with the stock exchanges, or information disseminated by the Company as a part of its quarterly, half yearly or annual financial statements, or any other communications addressed either to the public at large.
- l. Subsidiary** means a subsidiary as defined under section 2(87) of the Companies Act.

All other words and expressions used but not defined in this Policy, but defined in the SEBI Act, 1992, Companies Act, the Securities Contracts (Regulation) Act, 1956, the Depositories Act, 1996 and/ or the rules and regulations made thereunder shall have the same meaning as respectively assigned to them in such Acts or rules or regulations or any statutory modification or re-enactment thereto, as the case may be.

4. Scope and objective

The Policy has been framed, inter alia, to assist in determination of materiality and timely dissemination of material events/information to the stock exchanges (and thus, public) as specified in SEBI LODR Regulations. Accordingly, the scope of the Policy is as follows:

- a. To enlist events/ information that are considered material pursuant to regulation 30 read with Schedule III of the SEBI LODR Regulations;
- b. To lay down the guidelines/ criteria for determining materiality of such event/ information which are deemed to be material by the Authorised KMP;
- c. To specify timelines within which the Company shall disclose material events/ information to the stock exchanges;
- d. To specify roles and responsibilities of various functions/persons in relation to assessment and dissemination of material events/ information; and
- e. To define the scope of the Relevant Employees who shall assist the Authorised KMP in identifying potential material events/ information.

5. Type of event / information considered material & their disclosure

The Company shall make disclosures of events/ information as per the categories discussed below as per Regulation 30 of the SEBI LODR Regulations. The Company shall disclose all events or information which are material for the Company with respect to its subsidiary(ies), determined based on their impact on consolidated results. Category of events/ information that needs to be disclosed upon their occurrence:

- a. The events, as specified in Para A of Part A of Schedule III of SEBI LODR Regulations enclosed herein as Annexure-I, shall be considered to be deemed material events and the Company shall make disclosure of such events without applying guidelines / criteria for determining materiality (as defined in the Clause 6).
- b. The events, as specified in Para B of Part A of Schedule III of SEBI LODR Regulations

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enclosed herein as Annexure-II, shall be considered material, based on the application of guidelines / criteria for determining materiality (as defined in the Clause 6).

- c. Any other information/ event viz. major development that is likely to affect business, e.g. emergence of new technologies, expiry of patents, any change of accounting policy that may have a significant impact on the accounts, etc. and brief details thereof and any other information which is exclusively known to the Company which may be necessary to enable the holders of securities of the Company to appraise its position and to avoid the establishment of a false market in such securities.
- d. Without prejudice to the generality of the para (a), (b), (c) above, the Board may from time to time specify material events/ information to be disclosed by the Company.
- e. Without prejudice to any of the above, the Company may make disclosures of event/ information as specified by SEBI from time to time.
- f. In case where an event occurs or an information is available with the Company, which has not been indicated in Para A or B of Part A of Schedule III of SEBI LODR Regulations but may have material effect on it, the Company is required to make adequate disclosures in this regard thereof.

6. Guidelines/ criteria for determining materiality

The Company shall consider the following qualitative and quantitative criteria/ guidelines, as specified under Regulation 30(4) of SEBI LODR Regulations, for determination of materiality of events/ information, as mentioned below:

I. Qualitative criteria governing disclosure:

- a. where the omission in disclosure of an event or information is likely to result in discontinuity or alteration of event or information already available publicly;
- b. where the omission in disclosure of an event or information is likely to result in Significant Market Reaction if the said omission came to light at a later date.

II. Quantitative criteria governing disclosure:

- a. where the omission of an event or information, whose value or the expected impact in terms of value, exceeds the lower of the following:
 - i. 2% of turnover, as per the last audited consolidated financial statements of the Company;
 - ii. 2% of net worth, as per the last audited consolidated financial statements of the Company, except in case the arithmetic value of the net worth is negative;
 - iii. 5% of the average of Absolute Value of Profit or Loss after tax, as per the last three audited consolidated financial statements of the Company.

Note: The average of absolute value of profit or loss is required to be considered by disregarding the 'sign' (positive or negative) that denotes such value as the said value / figure is required only for determining the threshold for 'materiality' of the event and not for any commercial consideration.

- b. Where the financial statements are not audited at the time of determining materiality of an event, the Company may consider taking into account the latest audited financial statements for the said purpose.
- c. The Authorised KMPs shall determine as to whether an event/ information is material or not and also, at the time of its occurrence, in terms of value as

specified above. Materiality will be determined on a case to case basis depending on specific facts and circumstances relating to the information / event. In order to determine whether a particular event / information is material in nature, both the 'quantitative' and 'qualitative' factors shall be considered.

7. Timelines for disclosure

Pursuant to applicable regulation(s) of the SEBI LODR Regulations, the Company shall first disclose to the stock exchange(s) all events or information which are material in terms of the provisions of regulation 30 as soon as reasonably possible and in any case not later than the following:

- a. 30 minutes from the closure of the meeting of the board of directors in which the decision pertaining to the event or information has been taken;

Provided that in case the meeting of the board of directors closes after normal trading hours of that day but more than three hours before the beginning of the normal trading hours of the next trading day, the listed entity shall disclose the decision pertaining to the event or information, within three hours from the closure of the board meeting:

Provided further that in case the meeting of the board of directors is being held for more than one day, the financial results shall be disclosed within thirty minutes or three hours, as applicable, from closure of such meeting for the day on which it has been considered.

- b. 12 hours from the occurrence of the event or information, in case the event or information is emanating from within the Company;
- c. 24 hours from the occurrence of the event or information, in case the event or information is not emanating from within the Company.

Provided further that timelines for disclosure of material events or information specified in Para A and Para B of Part A of Schedule III is set out in Annexure-I and II.

In case of information not emanating from within the Company, the timeline as specified above shall apply from the time the Officer became aware or may be reasonably expected to become aware about such event or information.

In case the disclosure is made after the timelines specified, the Company shall, along with such disclosure provide the explanation for the delay.

The timelines specified herein are inclusive of non-working day/ trading holiday.

8. Process to determine material events/information

I. For determination of materiality of events/ information:

- a. The Board authorizes Chief Financial Officer ("CFO") as Authorised KMP to determine the materiality of any event/ information (including those potential material event/ information as reported by the Relevant Employees) and classify it as material information on the basis of the criteria as mentioned above.
- b. Subject to the timelines and the minimum details for intimation provided in the SEBI LODR Regulations or SEBI Circular(s), if any, the Authorised KMPs decide the appropriate time at which disclosure is to be filed with the stock exchanges and details that may be filed with respect to such disclosures in the best interest of the present and potential investors.

II. For disclosure of such events to the Stock Exchanges:

The Board authorizes the CFO/ Company secretary to deal with dissemination of information and make appropriate disclosure of such material events/ information to the Stock Exchanges on timely basis.

9. Website disclosure

- a. This Policy shall be disclosed on the website of the Company. The Company shall also disclose on its website all such events or information which has been disclosed to the Stock Exchanges pursuant to regulation 30 read with Schedule III of the SEBI LODR Regulations and such disclosures shall be hosted on the website of the Company as per the archival policy of the Company.
- b. The Company shall also disclose on its website the name and contact details of the Authorised KMPs as well as the person responsible for making disclosures to the stock exchanges.

10. Amendment

Any change in the Policy shall be approved by the Board. The Board shall have the right to withdraw and/or amend any part of this Policy or the entire Policy, at any time, as it deems fit, or from time to time, and the decision of the Board in this respect shall be final and binding. Any subsequent amendment/modification in the Act or the rules framed thereunder or the SEBI LODR Regulations and/or any other laws in this regard shall automatically apply to this Policy.

11. Compliance

The Company Secretary/ Compliance Officer of the Company shall be responsible for overall supervision of the Policy. Any queries regarding this Policy may be referred to the Company Secretary/ Compliance Officer.

12. Interpretation

In any circumstance where the terms of this Policy are inconsistent with any existing or newly enacted law, rule, regulation or standard governing the Company, the said law, rule, regulation or standard will take precedence over this Policy. This Policy will stand amended from the time to time in line with the applicable laws.

13. Version history

Version	Approval date	Revision date	Description
Version 1	April 12, 2021	-	Original Policy
Version 2	August 3, 2023	August 3, 2023	Amended pursuant to SEBI (Listing Regulations) 2 nd Amendment, 2023
Version 3	August 1, 2024	August 1, 2024	Amendment pursuant to SEBI (Listing Regulations)

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			(Amendments), 2024
Version 4	January 20, 2025	January 20, 2025	Amendment pursuant to SEBI (Listing Regulations) (Third Amendment), 2024

Annexure -IA

Indicative list of news sources covered under the scope of Mainstream Media as per Industry Standard Forum (“ISF”)

This list of news sources shall be read with Industry Standards Note (“ISN”) formulated by ISF which shall be subject to amendments in SEBI (LODR) Regulations, 2015 from time to time.

1. Indian newspapers:

a. English national dailies

- i. The following editions of Hindustan Times:
 - Delhi; and
 - Mumbai
- ii. The following editions of the Times of India:
 - Mumbai;
 - Delhi;
 - Banglore;
 - Chennai;
 - Kolkata;
 - Hyderabad; and
 - Pune
- iii. The Jammu edition of Excelsior
- iv. The following editions of Deccan Chronicle:
 - Hyderabad; and
 - Chennai
- v. The Jammu edition of State Times
- vi. The Chennai edition of The Hindu
- vii. The Jammu edition of Early Times
- viii. The Jammu edition of Journey Line
- ix. The Samba edition of State Vision
- x. The Kolkata edition of The Statesman
- xi. The Jammu edition of The Northlines
- xii. The Delhi edition of The Impressive Times
- xiii. The Delhi edition of the Indian Express
- xiv. The Telegraph

b. Business/ Financial News Dailies

- i. Economic Times;
- ii. Business Standard;
- iii. Livemint;
- iv. Financial Express; and
- v. Hindu Business Line.

c. Regional dailies

Sr.No.	Language	Top 2 Regional Newspapers by Circulation
1	Bengali	Anand Bazaar Patrika Bartaman
2	Gujarati	Gujarat Samachar Divya Bhaskar
3	Hindi	Dainik Bhaskar Dainik Jagran
4	Kannada	Vijay Karnataka Prajavani
5	Malayalam	Malayala Manorama
6	Marathi	Sakal Lokmat
7	Punjabi	Jagbani

		Ajit
8	Odia	Prameya Dharitri
9	Tamil	Daily Thanthi Dinakaran
10	Telugu	Telugu Jaatiya Dina Patrika Vaartha Sakshi
11	Urdu	Quami Tanzeem Tamil – – Irshaad

2. Digital/ Online News Sources

- a. Digital versions of the Indian newspapers set out above.
- b. Business/ financial news sources:
 - i. Bloomberg;
 - ii. BQ Prime;
 - iii. Money Control;
 - iv. Business Today
 - v. Business World;
 - vi. Reuters;
 - vii. Reuters India; and
 - viii. Press Trust of India.

3. International Media

- a. **For top 100 Listed Entities:** Top English Business/ financial news daily in the top 5 jurisdictions being United States of America, Singapore, Mauritius, Luxemburg and United Kingdom. The top English business/ financial dailies for these jurisdictions currently comprise:
 - i. Wall Street Journal and Financial Times for United States of America;
 - ii. Business Times (local newspaper) and Financial Times for Singapore; and
 - iii. Financial Times for United Kingdom
- b. For top 250 Listed Entities: Board to identify the foreign jurisdictions where Listed Entities has material business operations, along with a list of English business/ financial news sources from such foreign jurisdictions.

4. News Channels

- a. English Business News Channels:
 - i. CNBC TV – 18;
 - ii. ET Now; and
 - iii. Zee Business.

The websites of the aforesaid identified list of English business news channels will also be covered.

- b. Other Business News Channels (vernacular news channels):
 - i. CNBC Awaaz;
 - ii. ET Swadesh;
 - iii. Zee Business; and
 - iv. CNBC Bazaar

5. Others:

- a. Social media handles of news sources identified above. However, quotes/ re-tweets/ re-posts made from such social media handles not to be included.
- b. Social media platforms (including but not limited to Whatsapp, X (Twitter), Instagram, Facebook, Telegram etc) will be excluded from the ambit of mainstream media.

ANNEXURE I

Events or information that are to be disclosed without application of Materiality Guidelines listed in the Policy

Sr. No.	Events	Timeline for disclosure
1.	Acquisition(s) (including agreement to acquire), Scheme of Arrangement (amalgamation/ merger/ demerger/restructuring), sale or disposal of any unit(s), division(s), whole or substantially the whole of the undertaking(s) or subsidiary of the listed entity, sale of stake in the associate company of the listed entity or any other restructuring.	Within 12 hours* Acquisition of shares or voting rights by listed entities in an unlisted company, aggregating to 5% or any subsequent change in holding exceeding 2%, shall be disclosed quarterly as part of Integrated Filing (Governance).
2.	Issuance or forfeiture of securities, split or consolidation of shares, buyback of securities, any restriction on transferability of securities or alteration in terms or structure of existing securities including forfeiture, reissue of forfeited securities, alteration of calls, redemption of securities etc.	Within 12 hours *
3.	New Ratings(s) or Revision in Rating(s).	Within 24 hours
4.	Outcome of Meetings of the board of directors	As specified in clause (i) of Regulation 30(6) of LODR.
5.	Agreements (viz. shareholder agreement(s), joint venture agreement(s), family settlement agreement(s) (to the extent that it impacts management and control of the listed entity), agreement(s)/treaty(ies)/contract(s) with media companies) which are binding and not in normal course of business, revision(s) or amendment(s) and termination(s) thereof.	Within 12 hours * (for agreements where listed entity is a party); Within 24 hours (for agreements where listed entity is not a party).

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5A	Agreements entered into by the shareholders, promoters, promoter group entities, related parties, directors, key managerial personnel, employees of the listed entity or of its holding, subsidiary or associate company, among themselves or with the listed entity or with a third party, solely or jointly, which, either directly or indirectly or potentially or whose purpose and effect is to, impact the management or control of the listed entity or impose any restriction or create any liability upon the listed entity, shall be disclosed to the Stock Exchanges, including disclosure of any rescission, amendment or alteration of such agreements thereto, whether or not the listed entity is a party to such agreements: Provided that such agreements entered into by a listed entity in the normal course of business shall not be required to be disclosed unless they, either directly or indirectly or potentially or whose purpose and effect is to, impact the management or control of the listed entity or they are required to be disclosed in terms of any other provisions of these regulations.	Within 12 hours *(for agreements where listed entity is a party); Within 24 hours (for agreements where listed entity is not a party).
6.	Fraud or defaults by a listed entity, its promoter, director, key managerial personnel, senior management or subsidiary or arrest of key managerial personnel, senior management, promoter or director whether occurred within India or abroad.	Within 24 hours
7.	Change in directors, key managerial personnel (Managing Director, Chief Executive Officer, Chief Financial Officer, Company Secretary etc.), senior management, Auditor and Compliance Officer.	Within 12 hours *(except in case resignation); Within 24 hours (in case of resignation)
7A.	In case of resignation of the auditor of the listed entity, detailed reasons for resignation of auditor, as given by the said auditor.	Timeline as specified in sub- para 7A of Para A of Schedule III.
7B.	Resignation of independent director including reasons for resignation.	Timeline as specified in sub- para 7B of Para A of Schedule III.
7C.	Letter of resignation along with detailed reasons for the resignation as given by the key managerial personnel, senior management, Compliance Officer or director.	Timeline as specified in sub- para 7C of Para A of Schedule III.

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7D.	In case the Managing Director or Chief Executive Officer of the listed entity was indisposed or unavailable to fulfil the requirements of the role in a regular manner for more than forty five days in any rolling period of ninety days, the same along with the reasons for such indisposition or unavailability, shall be disclosed to the stock exchange(s).	Within 12 hours *
8.	Appointment or discontinuation of share transfer agent.	Within 12 hours *
9.	Resolution plan/ Restructuring in relation to loans/borrowings from banks/financial institutions.	Within 24 hours
10.	One time settlement with a bank.	Within 24 hours
11.	Winding-up petition filed by any party / creditors.	Within 24 hours
12.	Issuance of notices, call letters, resolutions and circulars sent to shareholders, debenture holders or creditors or any class of them or advertised in the media by the listed entity.	Within 12 hours *
13.	Proceedings of annual and extraordinary general meetings of the listed entity.	Within 12 hours *
14.	Amendments to memorandum and articles of association of listed entity, in brief.	Within 12 hours *
15.	(a) Schedule of analysts or institutional investors meet and presentations made by the listed entity to analysts or institutional investors. (b) Audio or video recordings and transcripts of post earnings/quarterly calls, by whatever name called, conducted physically or through digital means.	Timeline as specified in sub- para 15 of Para A of Schedule III.
16.	Events in relation to the corporate insolvency resolution process (CIRP) of a listed corporate debtor under the Insolvency Code.	Within 24 hours
17.	Initiation of Forensic audit: In case of initiation of forensic audit, (by whatever name called), the following disclosures shall be made to the stock exchanges by listed entities: (a) The fact of initiation of forensic audit along-with name of entity initiating the audit and reasons for the same, if available; (b) Final forensic audit report (other than for forensic audit initiated by regulatory / enforcement agencies) on receipt by the listed entity along with comments of the management, if any.	Within 12 hours* (if initiated by the listed entity); Within 24 hours (if initiated by external agency).

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18.	Announcement or communication through social media intermediaries or mainstream media by directors, promoters, key managerial personnel or senior management of a listed entity, in relation to any event or information which is material for the listed entity in terms of regulation 30 of these regulations and is not already made available in the public domain by the listed entity.	Within 24 hours
19.	Action(s) initiated or orders passed by any regulatory, statutory, enforcement authority or judicial body against the listed entity or its directors, key managerial personnel, senior management, promoter or subsidiary, in relation to the listed entity, in respect of the following: (a) search or seizure; or (b) re-opening of accounts under section 130 of the Companies Act, 2013; or (c) investigation under the provisions of Chapter XIV of the Companies Act, 2013;	Within 24 hours
20.	Action(s) taken or orders passed by any regulatory, statutory, enforcement authority or judicial body against the listed entity or its directors, key managerial personnel, senior management, promoter or subsidiary, in relation to the listed entity, in respect of the following: (a) suspension; (b) Imposition of fine or penalty; (c) settlement of proceedings; (d) debarment; (e) disqualification; (f) closure of operations; (g) sanctions imposed; (h) warning or caution; or (i) any other similar action(s) by whatever name called;	Within 24 hours Imposition of fine or penalty which are lower than the monetary thresholds specified under Para A(20) of Part A of Schedule III of LODR shall be disclosed quarterly as part of Integrated Filing (Governance).
21.	Voluntary revision of financial statements or the report of the board of directors of the listed entity under section 131 of the Companies Act, 2013.	Within 12 hours*

Annexure II

Events or Information that are to be disclosed based on Materiality Guidelines/ criteria listed in this Policy

Sr. No.	Events	Timelines for disclosure
1.	Commencement or any postponement in the date of commencement of commercial production or commercial operations of any unit/division	Within 12 hours*
2.	Any of the following events pertaining to the listed entity: (i) arrangements for strategic, technical, manufacturing, or marketing tie-up; or adoption of new line(s) of business; or (iii) closure of operation of any unit, division, or subsidiary (entirety or piecemeal)	Within 12 hours*
3.	Capacity addition or product launch.	Within 12 hours*
4.	Awarding, bagging/ receiving, amendment or termination of awarded/bagged orders/contracts not in the normal course of business.	Within 24 hours
5.	Agreements (viz. loan agreement(s) or any other agreement(s) which are binding and not in normal course of business) and revision(s) or amendment(s) or termination(s) thereof.	Within 12 hours * (for agreements where listed entity is a party) Within 24 hours (for agreements where listed entity is not a party).
6.	Disruption of operations of any one or more units or division of the listed entity due to natural calamity (earthquake, flood, fire etc.), force majeure or events such as strikes, lockouts etc.	Within 24 hours
7.	Effect(s) arising out of change in the regulatory framework applicable to the listed entity.	Within 24 hours
8.	Pendency of any litigation(s) or dispute(s) or the outcome thereof which may have an impact on the listed entity.	Within 24 hours (except as provided under Regulation 30(6) of LODR). Updates on ongoing tax litigations or disputes shall be disclosed quarterly as part of Integrated Filing (Governance).

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9.	Frauds or defaults by employees of the listed entity which has or may have an impact on the listed entity.	Within 24 hours
10.	Options to purchase securities including any ESOP/ESPS Scheme.	Within 12 hours*
11.	Giving of guarantees or indemnity or becoming a surety, by whatever name called, for any third party.	Within 12 hours*
12.	Granting, withdrawal, surrender, cancellation or suspension of key licenses or regulatory approvals.	Within 24 hours
13.	Delay or default in the payment of fines, penalties, dues, etc. to any regulatory, statutory, enforcement or judicial authority.	Within 12 hours*

*Note: In case the event or information emanates from a decision taken in a meeting of board of directors, the same shall be disclosed within thirty minutes from the closure of such meeting as against the timeline indicated in the table above.